

RISK MANAGER'S ALLOCATION REPORT

Ironbark Constructors, Inc. · Our reference IBC-SEC-2026-0071

INSTRUCTIONS

Instructed by:	Sonoran Ridge Risk Advisors, LLC
On behalf of:	Meridian Grid Holdings, LLC
Policy number:	IM-2298-66401
Author:	Alina Petrosyan-Ward, Corporate Risk Manager
Prepared for:	Sonoran Ridge Risk Advisors and Desert Basin Specialty
Prepared on:	13 April 2026
Scope:	What was taken, and which policy answers for it
Reviewed by:	Hector Zaldivar-Boone, Executive Vice President

PROJECT AND PROPERTY AFFECTED

Project:	Cypress Landing Data Hall B, campus building 2 of 4
Permanent works:	Feeder cable, ground ring, busway, UPS cabinets, duct bank
Contractors equipment:	One engine drive welder, hand tools from trailer T-4
Temporary works:	220 lin ft perimeter fence, two site cameras
Not affected:	Data Hall A, which is a separate operating asset

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Circumstances and findings

CIRCUMSTANCES

Circumstances:

The project team submitted this loss under the company's contractors equipment floater because site inventory is tracked in the equipment system. Risk Management does not agree with that allocation and sets out the position here so that the broker can direct it correctly rather than have it corrected later.

FINDINGS

Findings:

Of USD 1,318,100 taken or damaged, USD 1,264,000 is copper feeder cable, ground grid conductor, busway and owner-supplied UPS cabinets. Every one of those items is material intended to become a permanent part of the insured project and was staged at the project site awaiting installation. The contractors equipment floater excludes, in terms, property that is or is intended to become a permanent part of a building, structure or the insured's construction project, and directs that exposure to a builder's risk or installation floater. Only USD 42,800 of contractors equipment and USD 11,300 of temporary works properly sit on the equipment floater. The primary notice belongs on the project's builder's risk policy, on which this company is a named insured alongside the owner, and on which the owner-supplied UPS modules are specifically scheduled.

Date of loss:	11 April 2026
Cause of loss:	Theft — copper stripped from the works
Incident reference:	IBC-SEC-2026-0071
Injuries reported:	0

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Preliminary quantum and reserve advice

PRELIMINARY QUANTUM

Basis:

The figures below are preliminary and are given for reserving purposes only. They are subject to verification and may move as the investigation continues.

Copper feeder cable, 500 and 750 kcmil	USD 612,000
Ground ring conductor and re-testing:	USD 148,000
Copper busway, 16 sections:	USD 224,000
UPS module cabinets, factory re-certification	USD 186,000
Duct bank, handholes and re-pull:	USD 94,000
Contractors equipment and temporary works	USD 54,100
Estimated loss:	1,318,100
Currency:	USD

TWO COVERAGE ISSUES, RAISED RATHER THAN LEFT TO BE FOUND

Comment:

First, the site protection warranty requires a licensed guard patrol between 18:00 and 06:00. A guard was on duty and logged rounds at 22:40, 00:55 and 04:10, but the instruction is hourly and the gap covers the whole incident window. Second, the copper-specific theft sublimit is USD 500,000 against roughly USD 984,000 of copper taken. Both should be addressed early rather than at settlement.

RECOMMENDATION

Recommendation:

Submit to the builder's risk carrier as the primary notice. Notify the equipment floater for the welder, the hand tools and the temporary works only.